

GST at eight: Navigating towards tax certainty



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Tax certainty is the cornerstone of any successful tax system. Businesses also find it easier to operate in a conducive environment with a streamlined tax system that facilitates smooth operations – sans disputes or disruptions. Countries worldwide have pursued tax certainty to ease compliance, attract investments and reduce litigation. Therefore, it is important to understand Goods and Services Tax (GST)'s journey in India, in order to navigate towards tax certainty.

The launch of GST eight years ago was a transformative moment in India – not just for businesses and tax administrations but for common citizens as well. GST ushered in a destination-based consumption tax in lieu of the earlier maze of central and state levies. The sheer size and scale of the GST system at the federal and provincial levels in India is unprecedented. The technological infrastructure enabled by GSTN has made India's GST a role model for many countries. The steady increase in the average monthly GST collections over the last eight years – from INR 90,000 crore to INR 1.84 lakh crore – speaks volumes about how GST has been successfully administered.

GST Council's proactive stance

The GST Council has been very proactive and decisive in its 55 meetings held till date to fulfil its constitutional mandate and address the concerns faced by trade and industry. Amidst numerous challenges – be it the COVID-19 pandemic or natural calamities – tax authorities have been ready to provide prompt relief to the taxpayers by way of relaxation of timelines, or even by introducing amnesty schemes. The legal provisions and procedures have been often amended

over the years so that issues like classification, inverted duty structure or even sector-specific problems faced by businesses – especially the micro, small and medium enterprise (MSME) sector – are suitably addressed.

Tax certainty in operational matters

In the initial years of GST's launch, the frequent changes in rates, procedures and legal provisions, though conducted to help taxpayers, were perceived to impact the stability and predictability of the tax system. The GST Council has since adopted a calibrated approach to reduce policy uncertainty.

Changes are now fewer, with adequate publicity and time for adoption. The GST Council has also recommended issuance of clarifications in cases involving ambiguity in the law or procedures. Yet, prospective beneficial clarifications issued without clarity on how to treat the past period or retrospective changes in the statute can go against the very grain of tax certainty. Inconsistent approaches in GST enforcement by states or by the centre can also lead to a high degree of tax uncertainty for businesses.

Thus, it's a positive sign that the Central Board of Indirect Taxes and Customs (CBIC) has issued guidelines to its field officers to harmonise their approach towards issuance of summons, carrying out searches or investigating matters that may have a GST-policy implication. Clear instructions have also been issued to field officers to resolve the issue of multiple or overlapping investigations. Ensuring that these instructions are adhered to at the ground level at both centre and state levels will further instil taxpayer confidence in the system.

Time-bound disposal of tax disputes

Timely closure of disputes would help bring better certainty for businesses. GST, when enacted, provided a robust dispute resolution system, yet the delay in the operationalisation of the GST Appellate Tribunal (GSTAT) for eight years has impacted tax certainty to some extent. This is because taxpayers had to go to the writ jurisdiction of the high courts for matters that could have been handled by the GSTAT – had it been operational – through tax appeals.

Going forward, effective and proactive measures should be explored, such as fast-tracking the most-commonly observed disputes, bunching of cases, creating special benches for classification/input tax credit-related disputes. This will expedite the huge backlog of cases before the GSTAT. Also, close monitoring by senior officers of time-bound adjudication and appellate decision-making at the



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lower levels is crucial in order to facilitate the early closure of disputes. Another important measure to enable tax certainty is to create a national-level appellate authority to resolve conflicting state-level advance rulings.

Prevention of disputes

Tax administrations around the world place greater importance in resolving tax disputes pre-emptively, rather than let them evolve into full-blown disputes. Methods like the Netherlands' collaborative taxpayer engagement, HMRC's Alternative Dispute Resolution and USA's IRS Fast Track Settlement can be considered for adoption to nip GST disputes in the bud – especially for medium- and small-scale entrepreneurs and businesses.

Disputes in GST could be prevented if efforts are taken to close the same at the audit or pre-show cause stage in genuine cases. This method of dispute prevention can be tackled by sensitising the officers and better monitoring. Effective and timely adoption of the provisions of Section 11A of the CGST Act to provide relief, basis the general trade practice, would also reinforce the confidence of businesses in tax certainty.

Business-friendly environment

The Organisation for Economic Co-operation and Development has highlighted the importance of tax certainty for a business-friendly environment, which can promote cross-border investment and trade. India aims enhance the flow of foreign direct investment into the country to about USD 100 billion annually, and become the world's third-largest economy by 2028. Tax certainty in GST will play an instrumental role in achieving these ambitious national goals.